Transaction Costs and the Population Growth of the Charleston, South Carolina Area

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Abstract

This paper aims to understand the population growth trend in the Charleston area over recent years through the lens of transaction costs. The study draws on theories of new institutional economics, present migration, and urban economics. This study surveyed 163 participants to determine whether population growth in Charleston could be attributed to lower transaction costs in the Charleston area compared to those in their previous locations. The study found that while the population in Charleston has increased significantly in recent years, the majority of the analyzed market transaction costs rose when people moved there, compared to where they lived previously. To be more specific, transaction costs for time decreased after people moved to Charleston.

In contrast, transaction costs related to coordination, research, accessibility, and social and community factors increased after moving to the Charleston area. Given the nature of transaction costs, when they grow, they act as a barrier to the market. When that knowledge is applied to the Charleston area, transaction costs did not affect migration levels, as this study found that market transaction costs were higher than those in the regions individuals were moving from. However, it is imperative to note that this study did not examine whether people were aware of transaction costs before deciding to move to Charleston. Additionally, Several limitations were identified regarding the collection of extensive demographic data and the failure to assess the level of consciousness at which transaction costs affected participants' perceptions of their move to Charleston.

Introduction

On June 30, 2021, the Charleston Post and Courier reported that the Charleston area was growing at a rate significantly faster than most other cities in the United States.[1] Additionally, Charleston County Economic Development reported that from 2014 to 2024, the city of Charleston's population grew by 14%, and the town of Mount Pleasant, an edge city adjacent to Charleston, grew by 23%[2]. As the population grows, specific concerns have arisen regarding the impact on the local economy and housing. The Charleston Metro Chamber of Commerce's (CMCC) Annual Economic Forecast for 2022 stated that while in-migration was helping to

[1] Staff Report. (2021, June 30). Charleston area among fastest-growing in the U.S. The Post and Courier.

[2] Charleston County Economic Development. (2024). Population data: Charleston County.

mitigate the effects of high interest rates and inflation, the region was facing rising land and housing costs, which were exacerbating the housing affordability crisis already present in the area. [3]While the current literature examines the economic effects of population growth in rapidly growing cities like Charleston, further research is needed to expand understanding of the factors motivating migration to Charleston and other cities in the Charleston Area. One reason for the surging population growth that has yet to be investigated is the relationship between different market transaction costs and migration to the area.

Transaction costs are the additional expenses associated with a transaction. A general example of a transaction cost is the extra expense incurred when obtaining food, such as the time spent going to the grocery store or the price of a cookbook to research the ingredients needed to create a meal. When transaction costs are higher, it becomes a barrier to economic growth. If it took a person a long time to drive to a grocery store, they might consider growing their own food or moving to an area closer to the store. This is an example of transaction costs posing a significant challenge that people living in rural areas often face.

This research paper examines whether lower market transaction costs help explain why people move to more urban areas, to increase understanding of the population growth Charleston has seen in recent years. To do this, this paper investigates the relationship between a multidimensional model of market transaction costs and the increasing migration to Charleston, SC. A general survey sent to people in the Charleston area was used to examine a multidimensional definition of Transaction costs that affected individuals before and after they relocated to Charleston. The research focuses on the town of Mount Pleasant, one of the towns that comprise Charleston County, and has experienced significant growth over the past decade. This paper is split into multiple sections: (1) A literature review that defines transaction costs, the current state of migration research, the current state of broader internal migration research, and the research gap this paper aims to fill. (2) A methods section describing the survey creation, data collection process, and statistical analysis methods used to analyze the survey. (3) The results of the survey and their discussion. (4) The limitations of the study and direction for future research on the subject. (5) a graphs and figures Section, (6) and a general conclusion section.

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[3] Charleston Metro Chamber of Commerce. (2022). Regional economic forecast 2022.

Literature Review

It is essential to understand the nature of transaction costs, as they are at the heart of the analysis presented in this paper. In Ronald Coase's paper "The Nature of the Firm" (1937), he highlights the balancing act that firms perform between the neoclassical economic model and the role of authority.[4] Importantly, he explains that a firm may find it cheaper to perform a service essential to its production in-house or to outsource it to a third-party contractor. To put it more concisely, He explains why firms may use authority to lower market transaction costs.

To illustrate this concept, it's helpful to examine the real-world example of using a real estate agent. A real estate agent is the one who takes the time to research the property and handle the paperwork. A person could do all of that themselves, but it would cost them less to hand it to the real estate agent. Now the person could always do it themselves, too, if the costs of doing it themselves were lower than the cost of hiring a real estate agent.

While Coase first introduced the idea of transaction costs, Oliver Williamson provides a clear definition of the concept. In Oliver Williamson's paper "Transaction-Cost Economics: The Governance of Relations"(1979), He states that there are three dimensions that are important for characterizing transactions: "(1)uncertainty, (2) the frequency with which transactions recur, and (3) the degree to which durable transaction-specific investments are incurred" (p 239). [5]

To explain the third option in simpler terms, he means the level of specificity of a transaction investment to the transaction itself. Additionally, he divided the concept into three categories: Nonspecific, Mixed, and Idiosyncratic. Non-specific meaning that the transaction cost is not unique to the transaction, and Idiosyncratic meaning that the transaction cost is highly specific to the transaction itself.

The importance of this distinction means that the level of specificity dictates how easily a person can switch options. A real-world example of an idiosyncratic transaction cost is paying for a specific textbook that only helps you learn one class. However, A real-world example of a nonspecific transaction cost is the purchase of notebooks and pens for taking notes that can be used in all college classes. The key difference is that a nonspecific transaction cost applies to all transactions, while a specific transaction cost applies to only one. It is important to note that

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[4] Coase, R. H. (1937). The nature of the firm. Economica.
[5] Williamson, O. E. (1979). Transaction-cost economics: The governance of contractual relations. Journal of Law and Economics

when you switch classes, you can still use the same generic pencils and notebooks that you bought; however, you can't use the same specific textbook you purchased for the class you switched out of. The point being, when you pay an idiosyncratic transaction cost, the level of specificity affects how easily a person can move from one place to another, from one class to another, and from one opportunity to another. It is also important to note that Williamson only studied this subject in relation to firms and contractors, not in the context of personal mobility. However, for the sake of later characterizing transaction costs in my survey, I will extend this logic to personal mobility to explore how perceived transaction costs influence people's decisions to relocate to Charleston.

Finally, it's important to note how institutions influence transaction costs, as Douglas North described in his 1993 Nobel Prize lecture. North defines institutions as "the humanly devised constraints that structure human interaction"(para 5)[6]. He then goes on to separate institutions into three conceptual categories: formal constraints, such as laws and constitutions; informal constraints, such as social norms and self-imposed codes of conduct; and, finally, their enforcement. North describes how these constraints and their enforcement affect the level of transaction costs in the economy.

An example of a formal law was the German Beer Purity Law, which ensured the safe quality of beer for its consumers. To do this, the law regulates ingredients and quality control. Before the law, the question of a beer's quality might dissuade a customer from purchasing it. After the law, quality becomes out of the question because it is regulated, decreasing the uncertainty mentioned earlier as a characteristic of transaction costs in Williamson's paper.

Moving beyond New Institutional Economics, it is also essential to understand the current state of migration research and urban economics. Firstly, the paper by Christian Bayer and Falko Jussen, "On the Dynamics of Interstate Migration: Migration Costs and Self Selection",[7] primarily discusses the development of a microeconomic model to analyze interstate migration patterns, focusing on two concepts: migration costs and self-selection. Migration costs were described as a "structural parameter"(p. 2) that represents a utility penalty for moving states. Self-selection in relation to migration is when people choose a location based on preferences and factors they cannot observe, which make them better off in that region. Although

[6] North, D. C. (1993). Economic performance through time [Nobel Prize Lecture]. NobelPrize.org.
[7] Bayer, C., & Juessen, F. (2012). On the dynamics of interstate migration: Migration costs and self-selection. Review of Economic Dynamics.

the authors did not mention transaction costs, migration costs align pretty well with the definition of transaction costs because they both introduce friction to a goal a person may have, whether it is to migrate or something else. The model the author uses focuses on the factors movers use to select a state to migrate to, rather than on the outcomes or alignment with the movers' expectations of the place they move to. While this paper concerns itself with self-selection, it does not examine whether decisions based on unobservable factors align with the mover's relocation to the new area. Yes, they move due to possible, unobserved benefits, but are those benefits actually true once they get there? An empirical estimate from a simulation conducted by Bayer and Jussen found that if migration costs were zero, 50% of the population would migrate. However, once they added the self-selection variable to the simulation, only 10.2% of the population would migrate.[8] This illustrates that the frictions people often face when moving are influenced by their own personal preferences, even when migration costs are zero. Even though Bayer and Jussen do not account for market transaction costs in organizing their study, the model they developed includes several factors that affect a person's ability to relocate. These factors include: dynamic incentives, the cost parameter of moving, and endogenous self-selection.

Moving on, the article "Migration and Urban Economic Dynamics"[9] questions whether the growth rates can be attributed to idiosyncratic shocks to total factor productivity and whether extreme cases of urban decline can, to some extent, be accounted for by changes in total factor productivity. In the discussion, Davis notes that people move to urban areas because urban amenities and service accessibility create value. Although he mentions the trend of people moving to areas with more urban amenities and greater service accessibility, he does not structure transaction costs into his analysis to determine whether they are a factor in migration. He highlights that city attractiveness is shaped by the proximity people have to their jobs, job opportunities, essential services such as hospitals and grocery stores, and their social and professional networks (p. 14). On the same note, he also contends that City growth can be attributed to the proximity people have to their jobs, services, and networks, which creates a solid foundation for further research into market transaction costs related to accessibility and whether they are a factor in population growth.

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[8] Found on page 21 of document

[9] Davis, M. A., Fisher, J. D., & Veracierto, M. (2019). Migration and urban economic dynamics.

Going forward, the following paper, “Internal Migration in the United States: A comprehensive comparative assessment of the Consumer Credit Panel”[10], discusses the internal migration patterns of the United States. The authors note several issues with migration data, including limited availability, poor quality, and limited comparability. Due to this, one of the goals of this research paper is to ensure easy comparability regarding where people are moving from and where they moved to, and to provide adequate quality in the survey this study creates. The paper also mentions, “The CCP permits highly detailed cross-sectional and longitudinal analyses of migration, both temporally and geographically” (2019, p. 953). It is essential to note that while this study may have observed these migration trends, it did not analyze access to services, commute difficulty, convenience, time costs, social and community costs, or search costs in the areas people are moving to. However, their ability to observe those geographic and temporal factors could be used to understand the transaction costs in the area, but they did not do that in their study.

Lastly, the paper “How Important are Cultural Frictions for Internal Migration? Evidence From The Nineteenth-Century United States”[11] discusses the elasticity of migration flows regarding cultural distance and travel costs concerning the transportation network between 1850 and 1870. They state that “Travel costs are substantially more important than cultural distance for aggregate welfare”(2024, p. 1) and “Cultural mismatch may shape a migrant’s decision through effects on both consumption and production”(p. 2). To summarize, both may play a role; however, travel costs are more critical regarding the decision to travel. While the travel costs in this paper align with transaction costs at a conceptual level, transaction costs are not a part of the paper's organization. To highlight the relevance of this paper, it adds yet another established factor regarding migration: cultural mismatch. This paper is essential to the study of cultural mismatch as a friction affecting mobility. Additionally, this understanding expands the knowledge of some factors that aren’t specifically economic and how they affect migration decisions. These factors align with the social and community factors related to transaction costs that are discussed later in this project.

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[10] DeWaard, J., Johnson, J. A., & Whitaker, S. (2019). Internal migration in the United States: A comprehensive comparative assessment of the Consumer Credit Panel. Demographic Research.

[11] Jaworski, T., Kimbrough, E. O., & Saito, N. (2024). How important are cultural frictions for internal migration? Evidence from the nineteenth-century United States (NBER Working Paper No. 33192). National Bureau of Economic Research.

In the papers mentioned, none of the authors have examined transaction costs directly or their influence on migration choices. They have noted that access to services, cultural similarity, travel costs, and migration costs influence people's decision to move. However, they did not explicitly measure how the transaction costs that people face every day influence an individual's decision to move. Because the existing literature lacks an analysis of transaction costs and their role in migration, a case study examining transaction costs and migration in Charleston would address a significant research gap.

Methods

This study employs a mixed-methods descriptive approach that combines a comparative analysis of transaction costs between Mount Pleasant and the places from which people are migrating. The study utilizes a survey focusing on the population that has moved to the Charleston area. To reiterate, the goal of this study is to determine why many people are relocating to the Charleston area and to investigate if transaction costs are a factor in influencing people's decision to move. To answer this question, a survey was chosen as the data-collection medium because market transaction costs can vary across transactions; the varying levels of idiosyncratic and nonspecific transaction costs must be self-reported.

A comparative analysis examines market transaction costs before and after the participant moved to Charleston. This allows for the evaluation of similarities and differences in transaction costs between Charleston and the areas from which people are moving. Once we gather the similarities and differences, we can see what types of market transaction costs affected people the most and which did not. Additionally, this comparison would highlight the prominence of transaction costs in each area and the differences in the significance of their effects across different regions.

This survey targeted the adult population in the Charleston and Mount Pleasant area who had moved to Charleston in recent years. Charleston County comprises multiple counties, including Mount Pleasant. Mount Pleasant, as mentioned before, is one of the fastest-growing cities in the United States, with a population growth rate of 24%[12]. Because many people are moving to Charleston and population growth is so rapid, it is a prime subject for study in the

[12] Charleston County Economic Development. (2024). Population data: Charleston County.

context of a migration inquiry into understanding market transaction costs as a factor regarding migration. However, the survey did allow participants from all counties in Charleston County, not just Mount Pleasant.

For this study, market transaction costs were categorized into five distinct sub-categories: time costs, search costs, coordination costs, access to essential services, and social/community factors. These subcategories of transaction costs are familiar to everyone living in a specific area. Survey questions were then created to measure the presence of each subcategory of transaction costs in the Charleston area and the areas from which people moved.

Time costs were measured in the survey through questions about the time it took to commute to school, access essential services, and the regular travel time to Charleston, as well as the subject's previous residence. Search costs were measured by asking subjects about the effort and difficulty involved in gathering information about moving, such as locating housing or researching neighborhoods of interest. Coordination costs were measured by asking subjects about how easy it was to complete errands, arrange childcare, schedule appointments, and perform other activities related to personal time. Access to essential services was examined by comparing the proximity of necessary services, such as grocery stores, healthcare facilities, and schools, before and after the subjects moved. Lastly, The Social and community factors were examined by asking subjects about their sense of connection to the community and how easy it was to build the community in each area.

The survey was created in Google Forms and distributed via Facebook groups, Reddit communities, and the local Nextdoor platform in the Charleston Area. Only one of several Facebook groups actually approved the post within their community, and that was the "Mount Pleasant Word of Mouth" group. On Reddit, the post was distributed to multiple communities; however, only "r/movingout" approved it. After the initial posts were made, 163 responses were gathered. Because this paper focuses on exploration, rather than statistical representation, 163 responses are a justifiable amount.

Moving on to the survey design, the survey contained a description and four sections: (1) a general questions section, (2) a before moving section, (3) an after moving section, and lastly (4) a final questions section. In the description of the Google Form sent to participants, they were informed that the survey would be anonymous and would not include any personal or identifying questions, in accordance with ethical considerations.

The first section asked demographic questions about when participants moved to the Charleston area, the specific area of Charleston to which they moved, their previous location, and the primary reasons for moving to Charleston. The following sections asked participants about the subcategories of transaction costs they faced before moving to Charleston. It is important to note that these are the same questions given in the next section as well, but edited to focus on the subcategories of transaction costs people faced after moving to Charleston for easier comparison. This is where the bulk of the data regarding different types of transaction costs is located. Under each listed question, there is a subcategory of transaction cost, along with its method. For all questions, the methods were either multiple-choice, free-response, or Likert-scale.

The independent variables in this study are the state of origin, Category-specific transaction costs before moving, and Category-specific transaction costs after moving. The dependent variables are the self-reported influence of transaction costs on the decision to relocate(the very last question of the survey). The derived variables for this study were the change in commute time, change in access to services, change in search/coordination costs, change in social/community factors, and Net change in perceived daily inconvenience, to understand the difference in transaction costs before and after moving.

Using the data and variables from each section, frequencies and percentages of answers will be analyzed to identify any dominant responses to the questions. Additionally, Frequencies and percentages of responses for each survey question will be calculated, as not all respondents answered all survey questions—the mode and distribution characteristics of the responses before and after will also be calculated.

The comparative analysis will discuss the similarities and differences between the various sub-categories of transaction costs. More specifically, transaction costs in terms of responses provided by participants before and after relocation is what will be analyzed. Additionally, comparisons will be made regarding the differences and similarities between the Charleston area and the participants' origin states. The purpose of these comparisons will be to identify any significant reductions in cost and the degree of change for each transaction category, specifically which participants noticed the most noticeable change between their previous location and Charleston. Lastly, a thematic coding of the free-response questions will be conducted to identify recurring themes related to transaction costs.

Results and Discussion

Of the 163 people who responded to the survey, 41% moved to the Charleston area between 2020 and 2025. 19.6% of respondents moved to the Charleston area between 2015 and 2019. 12.9% of respondents moved between 2010 and 2014. Lastly, 26.4 % of respondents moved to the Charleston area before 2010.[13] The top 5 states people moved from were New Jersey (9.2%), Virginia (7.4%), New York (6.1%), Massachusetts (5.5%), and Pennsylvania (4.9%). 84% of survey respondents moved to Mount Pleasant. The other 16% moved to various places in Charleston County, including Isle of Palms, Daniel Island, North Charleston, Downtown Charleston, James Island, West Ashley, and others.162 people responded to a question asking, [14]"What was their main reason for moving?" It was a free-response question mixed with a check-all-that-apply multiple-choice question and due to the nature of the question, a proper percentage could not be calculated. 126 people reported that they moved due to the climate, lifestyle or quality of life, 78 people reported they moved because it was closer to family and friends. 66 people reported that they moved due to a job offer, relocation, or transfer, 41 people reported moving due to housing availability and price, and lastly, 37 people reported moving fue to the cost of living[15]

After demographic questions, the survey asked participants about the time costs they faced before and after moving to the Charleston area. First off, participants were asked how long it took them to get to work or school before and after they moved. Before participants moved, 23% reported that they did not commute, 9% said they were with in a 5 minute commute to work or school, 17% said that they were 5-10 minutes away, 17% said that they were 10-20 minutes away, 19% said that it took them between 35 and 60 minutes to get to work or school, and 8% said thatit took them over 60 minutes to get to work or school.[16] After they moved to the charleston area, 45% of participants said that they did not commute, 7% of participants said that they were within 5 minutes of work or school, 6% said that they were 5-10 minutes away, 14% said that they were 10-20 minutes away, 18% said that it took them 20-35 minutes, 10% said that it took them between 35 and 60 minutes to get to work or school. [17]Zero participants reported

[13] See figure 1 Demographics in "Graphs and Figures section".
[14] See figure 2 Demographics in "Graphs and Figures section".
[15] See figure 3 Demographics in "Graphs and Figures section".

[16] See figure 1.1 Time in "Graphs and Figures section".

[17] See figure 1.2 Time in "Graphs and Figures section".

taking more than 60 minutes to get to work or school. The most noticeable difference in this batch of data was the number of people who did not commute to work or school. This could be for many reasons, such as retirement or working remotely. On average, the time costs of living decreased when moving to Charleston from wherever they moved from, regarding work and school.

Moving on, Participants were asked how long it took to reach essential services, such as grocery stores and pharmacies. For most categories, responses differed by 1-2% before and after the move, except for one response option. There was a whopping 5% [18]increase in the number of people who could travel to essential services in 5 minutes or less, and no noticeable increases in any of the other categories after moving either. With those two results in mind, the time cost for essential services decreased slightly, according to the current data.

Moving on to the next question, participants were asked to estimate their average one-way commute time for daily errands. Fewer people reported their average commute being within 10 minutes after they moved to the Charleston area. Additionally, more people reported that their errands took 10-35 minutes to complete after they moved to the Charleston area. It was also noticeable that fewer people reported their errands taking over 35 minutes[19]. Seeing as both shorter and longer commute times were affected similarly, it is hard to tell whether people are commuting on average in less time than before.

After transaction costs related to time were questioned, the survey then asked participants about search costs in their previous and current residences. Participants were asked how difficult it was to find housing in the area they moved from and in the area they moved to in Charleston. Given the housing crisis going on in Charleston, the results are not surprising. Before people moved, 14% of respondents said finding housing was very easy, 24% said it was somewhat easy, 29% took a neutral stance, 21% said it was somewhat complicated, and 11% said it was very difficult. When asked how difficult it was to find housing in Charleston, there was a noticeable shift in how respondents answered. 6% of respondents said it was very easy to find housing, 18% said it was somewhat easy, 24% took a neutral stance, 31% said that it was somewhat difficult, and 21% said that it was very difficult. [20]It is essential to take away that there was a 20% increase in respondents reporting that Charleston was somewhat difficult to find housing in and very

[18] See figure 2.1 time in "Graphs and Figures section".
[19] See figure 3.1 time, 3.2 time, and 3.3 time in "Graphs and Figures section".
[20] See figure 1.1 search, 1.2 search, and 1.3 search in "Graphs and Figures section".

difficult to find housing in. The increase in response difficulty indicates the search costs of moving to Charleston are higher than those of the areas people moved from.

Moving on, Participants were then asked to provide information on the degree of difficulty in finding reliable information about services such as healthcare, childcare, and schooling before and after they moved to Charleston. Before moving, 30% of people stated that finding reliable information on services was very easy, 36% reported that it was somewhat easy, 24% took a neutral stance, 9% said it was somewhat difficult, and 2% said it was very difficult. After moving, there was a 17% decrease in participants who said that finding reliable information on services was easy.[21] There was another 2% decrease in respondents who said it was somewhat easy to find reliable information. However, there was a 2% increase in people who took a neutral stance on the subject. Additionally, there was 12% increase in participants who said that finding reliable information was somewhat and very difficult. With these changes in mind, finding reliable information in the Charleston area, on average, is more difficult than in the area they moved from, which aligns with relatively higher search costs.

Coordination Costs

After the survey questioned participants about search costs, it then inquired about coordination costs. Participants were asked how often daily tasks require significant planning in both their current and previous residences. There was 5% increase in those who said that they had to significantly plan daily tasks after moving, and there was another 5% increase in people who reported that they had to plan significantly often. On the opposite side of the spectrum, there was a 3% decrease in people who reported that it sometimes took significant planning for daily tasks, a 2% decrease in people who reported rarely planning for daily tasks, and 4% decrease in people who responded that they never planned for daily tasks.[22] This demonstrates that people felt coordination costs increased by a small percentage after moving to the Charleston area, as participants reported greater daily planning effort required to complete daily tasks.

After coordination costs were assessed, the survey moved on to an assessment of essential services. Participants were questioned about the availability of essential services to evaluate the subcategory of transaction costs related to accessibility. There was a 14% decrease in people who said that their accessibility to these services was excellent after moving to the

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[21] See figure 2.1 search, 2.2 search, and 2.3 search in "Graphs and Figures section".

[22] See figure 1.1 coordination 1.2 coordination, and 1.3 coordination in "Graphs and Figures section".

Charleston area, a 10% increase in those who reported it being good after moving, a 2% increase in those who reported the accessibility as adequate, and a 4% increase in those who said accessibility was limited.[23] No change in percentage regarding those who said accessibility was minimal after moving to the Charleston area. Interpreting this, one can infer that transaction costs associated with access to essential services increase after moving to the Charleston area relative to where respondents moved from.

After assessing transaction costs related to coordination, the survey then asked participants about transaction costs associated with social and community connections. It did this by asking participants how easy it was to build connections before and after they moved to the Charleston area. There was a 9% decrease in those who reported that building social connections was very easy after they moved to the charleston area, a 4% decrease in those who said it was somewhat easy, a 3% decrease in those who took a neutral stance, a 10% increase in those who said it was somewhat difficult, and a 6% increase in those who said it was very difficult after the move. [24]In general, then, social and community transaction costs are higher in Charleston than in the areas from which people moved.

Final Questions

After gathering data on transaction costs, a few final questions were asked to assess them further in the Charleston area. Participants were asked whether their daily time and effort to complete basic tasks improved after moving, and 29% said “Yes, significantly,” 25% said “Yes, slightly,” 25% said “No noticeable change,” and 17% said “No, it became worse.” Therefore, 54% [25]of respondents thought that, to some degree, their transaction costs in Charleston were lower than those in their previous location. Moving on, participants were asked about their most considerable everyday inconvenience in their last place of residence. This question was a themed response, so answers were distinguished by their most common themes. The majority of respondents, 48%, said traffic was the most significant inconvenience they faced before moving to the Charleston area. Additionally, 13% of participants said their commute was their most

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[23] See figure 1.1 accessibility, 1.2 accessibility, and 1.3 acessability in “Graphs and Figures section”.
[24] See figure1.1 social and community, 1.2 social and community, and 1.3 social and community in “Graphs and Figures section”.
[25] See figure 1.1 final questions, 1.2 final questions, and 1.3 final questions in “Graphs and Figures section”.

considerable inconvenience, 11% mentioned the weather, 2% mentioned politics, and 26% stated other inconveniences that could not be grouped thematically. [26]

Limitations and Future Research Recommendations

Several limitations have emerged during the research for this paper. The survey demographics were vast. Men and women may face different transaction costs due to social factors, but this was not measured because the survey lacked identifying questions. Additionally, the survey did not examine direct state impacts, meaning the analysis did not compare transaction costs in the Charleston area with those in a specific state like New Jersey or Virginia; it was very general. Another limitation is the data source. The survey was submitted to several online groups. Still, only three groups were approved: one on Reddit, one on Facebook, and one on the website NextDoor. Two of the three groups were advertised specifically to Mount Pleasant, meaning the whole of Charleston was poorly covered, and Mount Pleasant was extensively covered. Not to mention, this study did not analyze the different transaction costs associated with moving to the Charleston area, potentially skewing the data and its relevance. Lastly, preferences were not gathered from individuals to understand what they value. Some people may find the cost of living in a bustling city worth it, while others do not, which may affect their answers.

For future studies, it is advised to be more specific about demographics, location, and time period. Additionally, future research could examine the effect of institutions on transaction costs in the Charleston area to provide a broader picture of new institutional economics. Lastly, future research could assess whether people were consciously or unconsciously aware of these transaction costs and whether they consciously or unconsciously decided to move because of them.

Conclusion

So, do lower market transaction costs help explain why people move to more urban areas like Charleston? Based on the data, this study presents the short answer: No, transaction costs do not help explain why people move to a specific location. While some transaction costs, like time

[26] See figure 2.1 final questions, 2.2 final questions, and 2.3 final questions in “Graphs and Figures section”.

costs, were lower after people moved, transaction costs related to social factors, coordination, search, and access to essential services actually increased compared to where people moved from, which does not help explain why the area's population is growing at such a rapid rate. The most crucial limitation of this study, relevant to a mover's intent, is that it did not measure whether participants were consciously aware of these costs before deciding to move. It is heavily encouraged that future research on this subject consider that limitation.

Graphs and Figures

Figure 1: Demographics

What Year People Moved to the Charleston/Mount Pleasant Area		
Values	Before moving	Percentage
2020-2025	67	41%
2015-2019	43	26%
2010-2014	32	20%
Before 2010	21	13%
total	163	100%

*Note: "Before Moving" should say "Count"

Figure 2: Demographics

Top Areas People Moved From		
Values	Before moving	Percentage
New Jersey	21	13%
New York	15	9%
Massachusetts	14	9%
Virginia	12	7%
Others	101	62%
total	163	100%

Figure 3: Demographics

Common Themes	Count
Climate/Lifestyle/Quality of life	126
Closer to Family or friends	78
job opportunity, relocation, transfer	66
housing availability/price	41
cost of living	37

Figure 1.1: Time

Values	Before moving	After moving
Did not commute	37	74
Within 5 minutes	14	11
5-10 minutes	13	10
10-20 minutes	28	23
20-35 minutes	27	29
35-60 minutes	30	16
Over 60 minutes	13	0
Total	162	163

Figure 1.2: Time

Values	Before moving	After moving
Did not commute	23%	45%
Within 5 minutes	9%	7%
5-10 minutes	8%	6%
10-20 minutes	17%	14%
20-35 minutes	17%	18%
35-60 minutes	19%	10%
Over 60 minutes	8%	0%
Total	100%	100%

Figure 1.3: Time

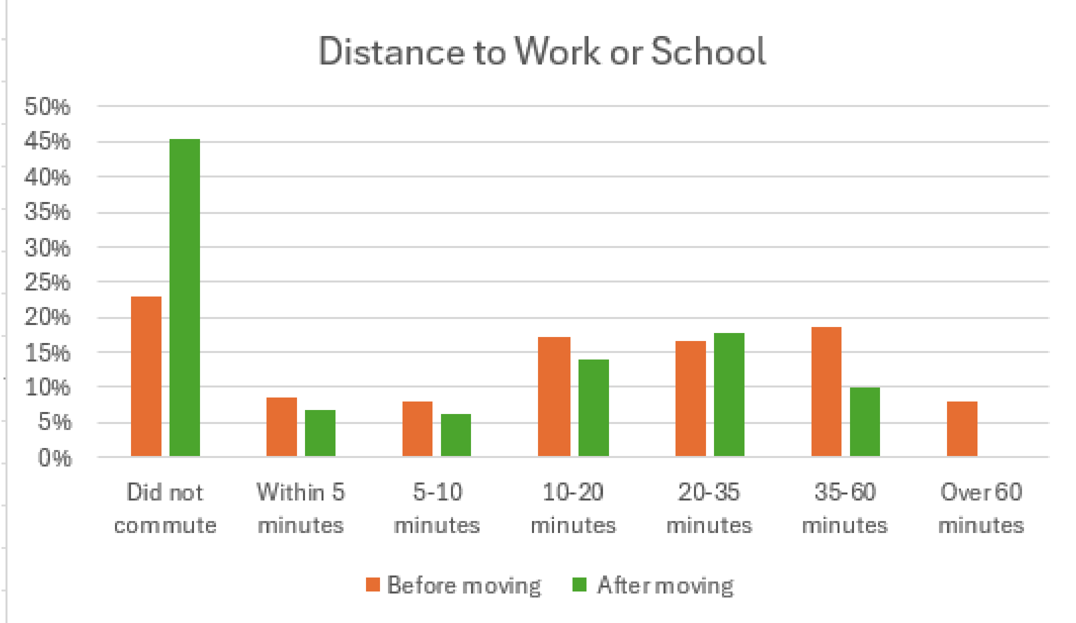


Figure 2.1: Time

Values	Before moving	After moving
within 5 minutes	50	58
5-10 minutes	50	49
10-20 minutes	44	42
20-35 minutes	15	13
35-60	3	1
Total	163	163

Figure 2.2: Time

Values	Before moving	After moving
within 5 minutes	31%	36%
5-10 minutes	31%	30%
10-20 minutes	27%	26%
20-35 minutes	9%	8%
35-60	2%	1%
Total	100%	100%

Figure 2.3: Time

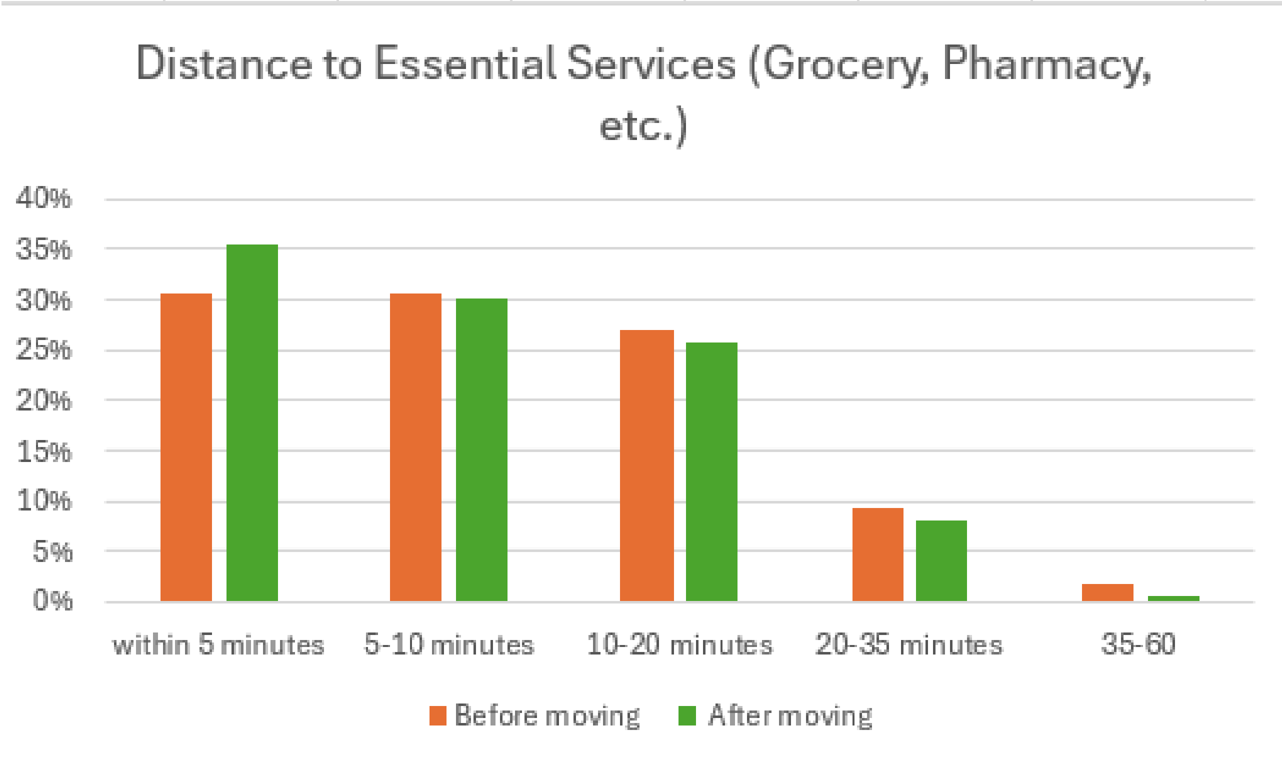


Figure 3.1: Time

Values	Before moving	After moving
Within 5 minutes	17	12
5-10 minutes	55	43
10-20 minutes	60	72
20-35 minutes	21	28
35-60 minutes	8	5
Over 60 minutes	2	1
Total	163	163

Figure 3.2: Time

Values	Before moving	After moving
Within 5 minutes	10%	7%
5-10 minutes	34%	26%
10-20 minutes	37%	44%
20-35 minutes	13%	17%
35-60 minutes	5%	3%
Over 60 minutes	1%	1%
Total	100%	100%

Figure 3.3: Time

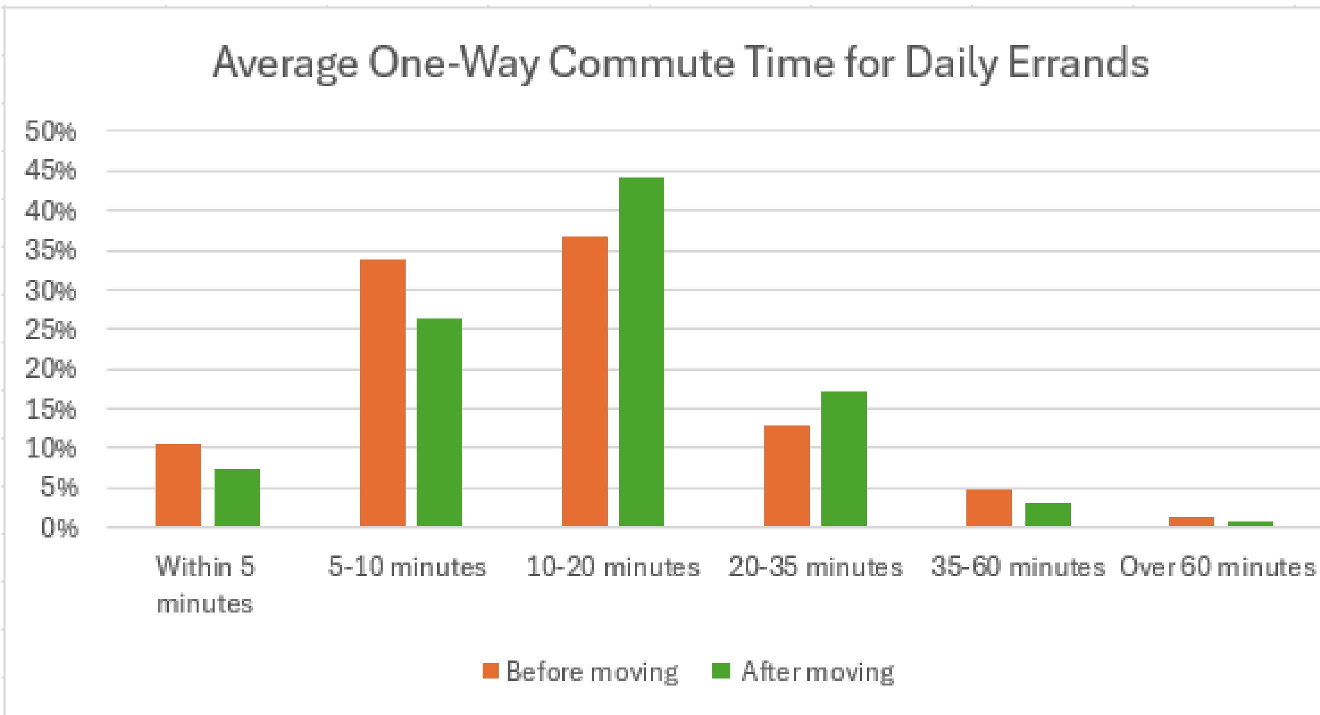


Figure 1.1: Search

Values	Before moving	After moving
Very Easy	23	10
Somewhat Easy	39	29
Neutral	48	39
Somewhat Difficult	35	51
Very Difficult	18	34
total	163	163

Figure 1.2: Search

Values	Before moving	After moving
Very Easy	14%	6%
Somewhat Easy	24%	18%
Neutral	29%	24%
Somewhat Difficult	21%	31%
Very Difficult	11%	21%
total	100%	100%

Figure 1.3: Search

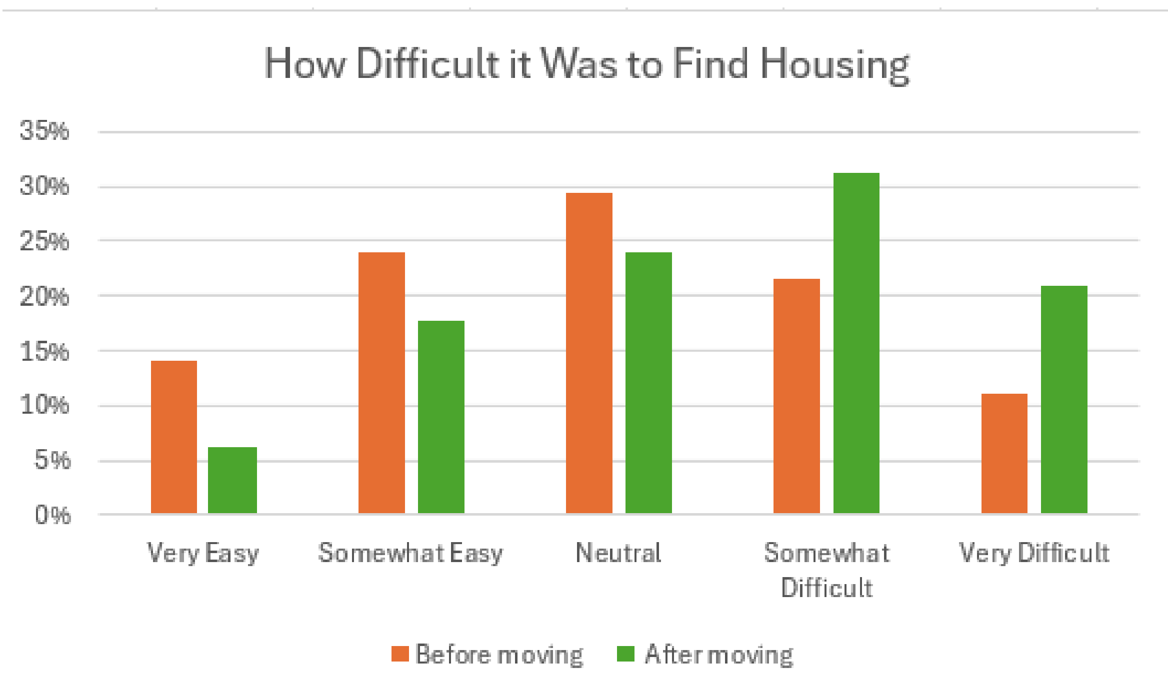


Figure 2.1: Search

Values	Before moving	After moving
Very Easy	48	22
Somewhat Easy	58	56
Neutral	38	48
Somewhat Difficult	14	29
Very Difficult	3	8
total	161	163

Figure 2.2: Search

Values	Before moving	After moving
Very Easy	30%	13%
Somewhat Easy	36%	34%
Neutral	24%	29%
Somewhat Difficult	9%	18%
Very Difficult	2%	5%
total	100%	100%

Figure 2.3: Search

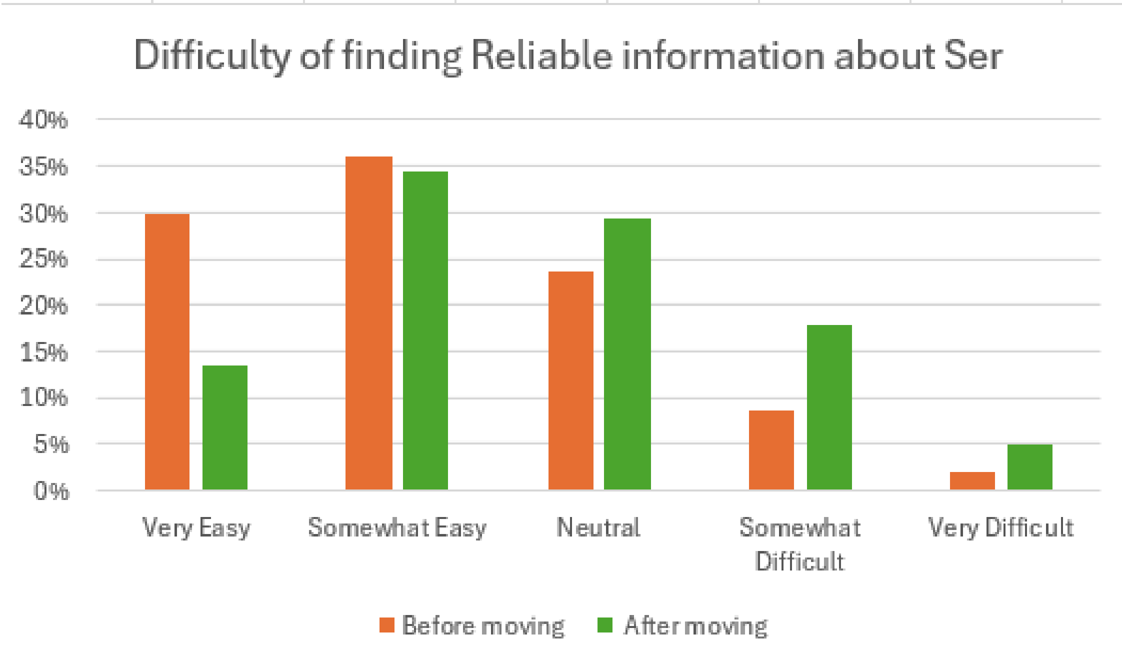


Figure 1.1: Coordination

Values	Before moving	After moving
Very Often	5	13
Often	17	25
Sometimes	50	45
Rarely	75	71
Never	13	6
Total	162	162

Figure 1.2: Coordination

Values	Before moving	After moving
Very Often	3%	8%
Often	10%	15%
Sometimes	31%	28%
Rarely	46%	44%
Never	8%	4%
Total	100%	100%

Figure 1.3: Coordination

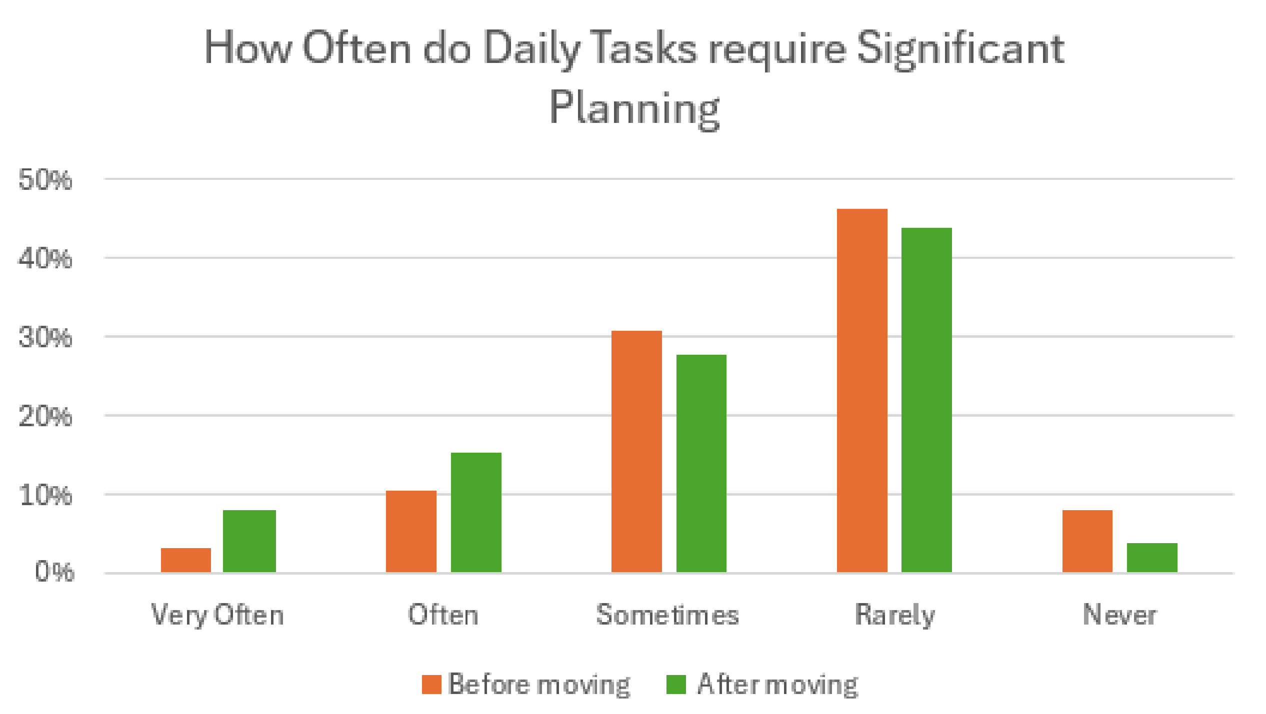


Figure 1.1: Accessibility

Values	Before moving	After moving
Excellent	80	56
Good	49	64
Adequate	25	27
Limited	7	13
Very Limited	2	1
Total	163	161

Figure 1.2: Accessibility

Values	Before moving	After moving
Excellent	49%	35%
Good	30%	40%
Adequate	15%	17%
Limited	4%	8%
Very Limited	1%	1%
Total	100%	100%

Figure 1.3: Accessibility

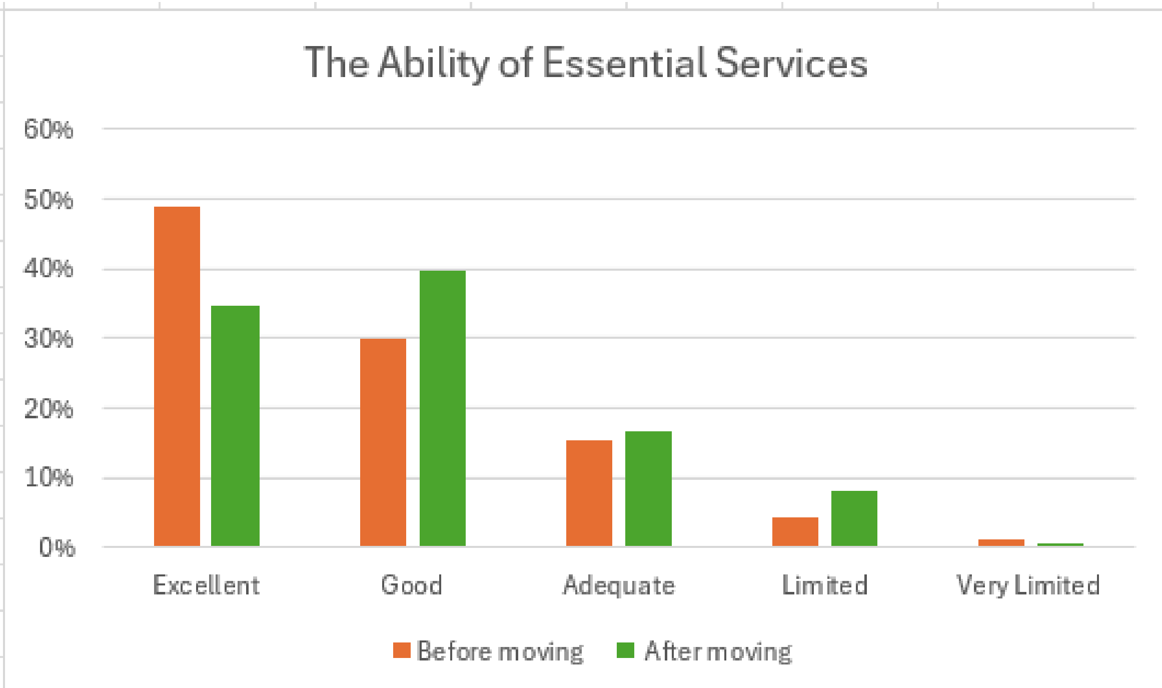


Figure 1.1: Social and Community

Values	Before moving	After moving
Very Easy	41	26
Somewhat Easy	54	47
Neutral	37	32
Somewhat Difficult	23	38
Very Difficult	8	18
total	163	161

Figure 1.2: Social and Community

Values	Before moving	After moving
Very Easy	25%	16%
Somewhat Easy	33%	29%
Neutral	23%	20%
Somewhat Difficult	14%	24%
Very Difficult	5%	11%
total	100%	100%

Figure 1.3: Social and Community

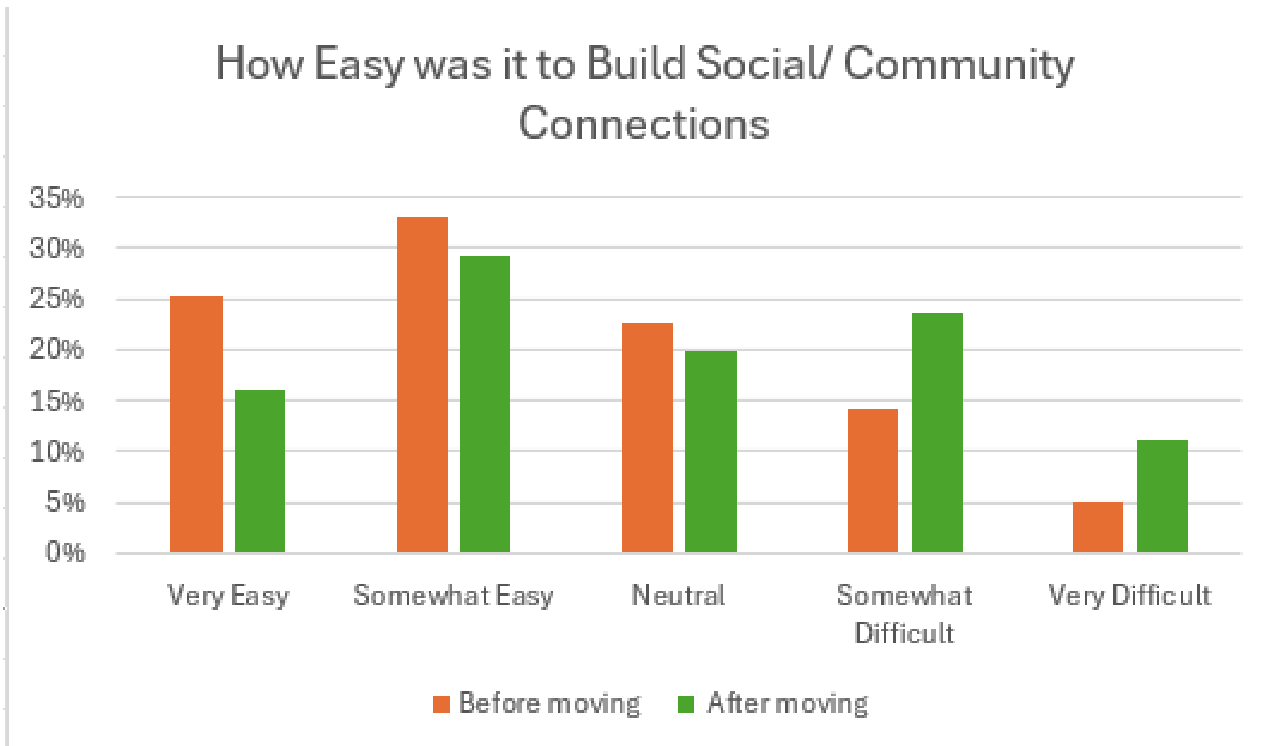


Figure 1.1: Final Questions

Values	After moving
Yes Significantly	47
Yes Slightly	41
No Noticable Change	47
No, It Became Worse	27
Total	162

Figure 1.2: Final Questions

Values	After moving
Yes Significantly	29%
Yes Slightly	25%
No Noticable Change	29%
No, It Became Worse	17%
Total	100%

Figure 1.3: Final Questions

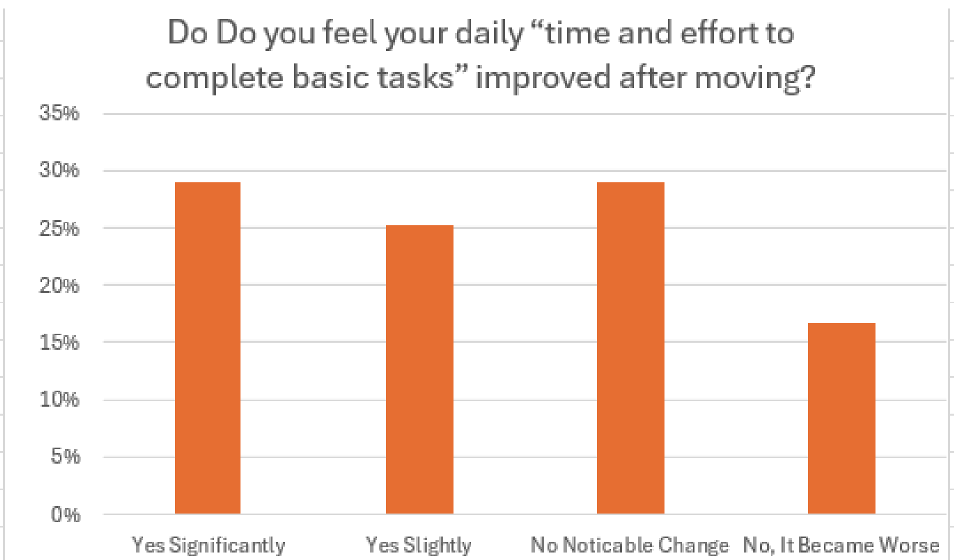


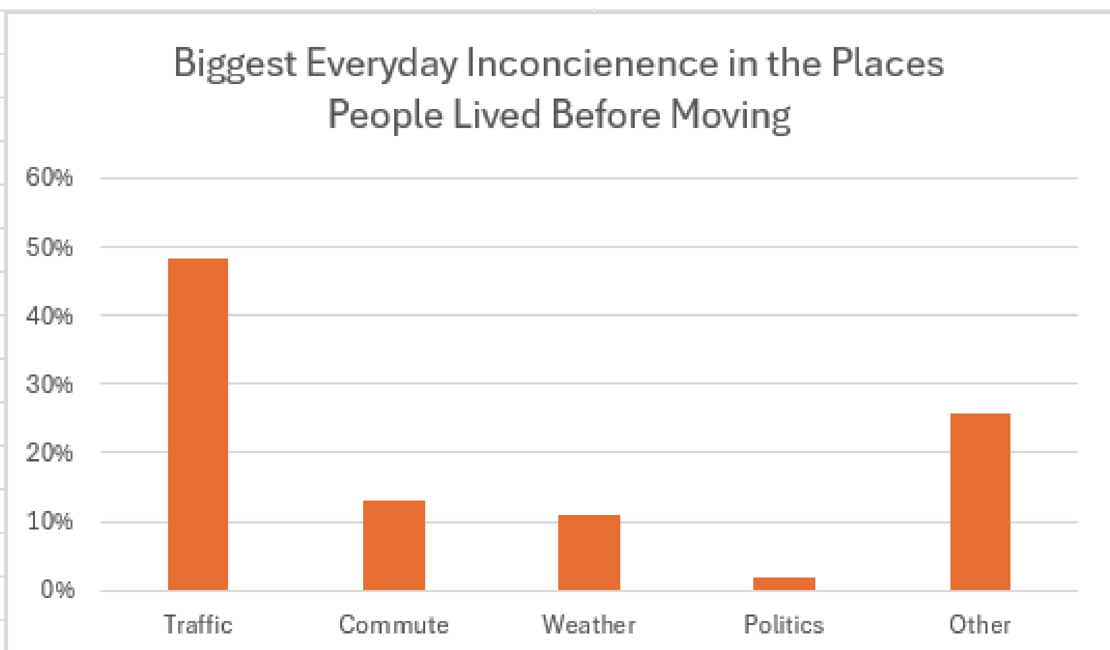
Figure 2.1: Final Questions:

Common Themes	Count
Traffic	79
Commute	21
Weather	18
Politics	3
Other	42
Total	163

Figure 2.2: Final Questions:

Common Themes	Count
Traffic	48%
Commute	13%
Weather	11%
Politics	2%
Other	26%
Total	100%

Figure 2.3: Final Questions:



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